

# XBRA — Explainable Behavioral Risk Attribution

Investor: INV\_HERDING\_022

Report date: 2026-09-12

## 1. Executive Summary

Analysis of INV\_HERDING\_022's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **24%** of the portfolio's maximum drawdown of **-3.8%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

## 2. Investor Risk Profile

| Metric               | Value      |
|----------------------|------------|
| Dominant Bias        | Herding    |
| Strategy Archetype   | Day Trader |
| Max Drawdown         | -3.8%      |
| Sharpe Ratio         | 3.47       |
| Sortino Ratio        | 8.86       |
| Peer Risk Percentile | 42th       |
| Behavioural Risk %   | 24%        |

## 3. Charts

## 4. Behavioral Bias Deep-Dives

### Herding

**Pattern:** You followed recent market momentum 69% of the time (vs population median 69%), indicating a tendency to buy high.

**Evidence:** Momentum-driven trades: MSFT | entry 2020-01-02 → exit 2020-01-22 | 20d | P&L; +278 HD | entry 2020-01-29 → exit 2020-02-18 | 20d | P&L; +453 WMT | entry 2020-02-26 → exit 2020-03-12 | 15d | P&L; -758 AMZN | entry 2020-03-23 → exit 2020-04-10 | 18d | P&L; +616 AMD | entry 2020-04-16 → exit 2020-04-30 | 14d | P&L; -575

**Consequence:** Entering trades after momentum peaks contributed approximately 23% of your total drawdown.

---

## 5. Trade Evidence

| Trade ID     | Symbol | Entry      | Exit       | Days | P&L   |
|--------------|--------|------------|------------|------|-------|
| INV_HERDING_ | TSLA   | 2024-10-30 | 2024-11-11 | 12   | 2126  |
| INV_HERDING_ | NFLX   | 2020-06-22 | 2020-07-12 | 20   | 1735  |
| INV_HERDING_ | BABA   | 2022-06-17 | 2022-06-24 | 7    | 1534  |
| INV_HERDING_ | PFE    | 2021-08-02 | 2021-08-17 | 15   | 1388  |
| INV_HERDING_ | NVDA   | 2022-11-09 | 2022-11-10 | 1    | 1359  |
| INV_HERDING_ | CVX    | 2022-08-29 | 2022-09-23 | 25   | -1335 |
| INV_HERDING_ | GS     | 2020-06-08 | 2020-06-11 | 3    | -1247 |
| INV_HERDING_ | NVDA   | 2021-11-01 | 2021-11-06 | 5    | 1146  |
| INV_HERDING_ | XOM    | 2022-10-03 | 2022-10-07 | 4    | 1135  |
| INV_HERDING_ | AMZN   | 2022-10-27 | 2022-11-01 | 5    | -1134 |

---

## 6. Recommendations

1. Set a stop-loss rule: exit any trade that loses more than 7% of its entry value.
2. Limit yourself to a maximum of 5 new trades per month to reduce overtrading.
3. Use a trading journal to record your reasons before each entry and review weekly.
4. Evaluate each trade against SPY performance to separate skill from market luck.